



IKEA unveils cardboard camera

Disposable camera from IKEA has a USB port for transferring photos, and runs on two AA batteries
<http://dgit.in/IOqY1W>

Tim Cook – highest paid CEO

Apple's chief executive is followed by Oracle's Larry Ellison, who lags by \$300 million, as per Wall Street Journal survey <http://dgit.in/KKtY5t>

New Age of Digital TV

The year 2012 will indeed be a turbulent year for DTH operators. Already under pressure from multiple taxation, they will face competition from cable operators post digitization, will have to manage space issues thanks to the increasing number of HD channels, and do all this while keeping pricing structures affordable. We speak with Shashi Arora, CEO – DTH & Media at Bharti Airtel to understand how this affects DTH operators

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Q Is digitization a boon for the industry? Or will the current issues like under-reporting by cable operators still continue?

Digitization of cable network will hugely benefit the entire ecosystem consisting of the government, broadcasters and consumers. For consumers, this translates into wider choice of TV channels, better quality of transmission, increased value added services and paying for what they view. For the government, greater customer declaration will lead to better tax compliance and tax revenues. Lastly, broadcasters will enjoy a reduced dependence on advertising revenues with subscription-based services as well as a lowering of carriage fees. I think digitization is a must for a country like India as it removes the biggest issue like underreporting and is a win-win situation for all stakeholders.

Q How big is this opportunity for DTH as an industry to gain new subscribers?

India has about 148 million television households of which 85 per cent (126 million) come under the cable and satellite (C&S) connectivity. Of these C&S homes, cable reaches to 80 million homes, while the rest are connected by either DTH (around 41 million) or digital cable Set Top Boxes (5 million) or Internet Protocol TV (around 0.05 million). Hence there is a huge untapped market for operators offering digital content with over 100 million homes waiting to be converted to a digital platform in 3 years time - the largest in the world at this point.



Shashi Arora, CEO – DTH & Media, Bharti Airtel

Q Will it be possible for Airtel's DTH offering to compete with the cable operator in terms of pricing of channel packages and the one time cost of buying the hardware?

A regular SD box from Airtel digital TV costs as low as ₹1,590, which includes installation charges as well. We also offer a one-year warranty on Set-top box maintenance. We offer more than 300+ channels. Compare this with the cable offering which will be a shade lesser than the prices but lesser number of channels. Also, to ensure money is not a deterrent for customers - we have a national entry tariff point 'Value pack' which starts at a nominal price point of ₹158 + taxes and



comes with 191 channels and services. There is a special entry pack for the 5 south states package called 'South Super Value pack' which starts at ₹140 + taxes and comes with 119 channels and services. DTH platforms offer value for money.

Apart from pricing, I am certain that Airtel digital TV scores over cable in terms of multi lingual 24x7 service accessibility, technology advantages like latest MPEG4 DVB S2 technology, 7.1 Dolby digital Plus surround sound, Universal Remote, Weather Proof Signal Capability, more than 300+ channels and services, highest number of HD Channels, exclusive Airtel movie channels and many more.

Q DTH operators have always been on the wrong side of service tax structures. Is that hampering the ability to offer services at even lower rates?

Yes. Currently, about 33 percent of the monthly tariff realisation from the customers goes to the government in the form of taxes and fees. For an industry that is today an 'essential' service, this high incidence of tax is detrimental to the consumer and the industry. I am sure that if the taxes are rationalised, the customer will experience digital content at a much lower price points. The tax structure has to be made a level playing field with cable for DTH industry to compete. **Q**

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